



LEAVE BENEFITS POLICY AND GUIDELINES

June 2020

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I. OBJECTIVES

In order to ensure that leave policies are applied on a consistent basis, and to ensure compliance with Labor Laws, Quezon Capital Rural Bank has developed this policy and guideline for the administration of Leave benefits.

This policy and guidelines also aims to encourage employees to balance their personal as well as professional life.

II. POLICY STATEMENT

The bank recognizes that there are occasions when employees are absent from work for a variety of legitimate reasons. This policy and guidelines provides a framework for the various types Leave that can be taken by eligible employees, in adherence to pertinent labor laws.

III. IMPLEMENTING GUIDELINES

1. Responsibilities

- 1.1. The Executive Vice President and COO together with the Human Resources Department has principal responsibility for ensuring the content of this policy is applied consistently and fairly.
- 1.2. Department Heads are responsible for reviewing and approving/ the leave applications of all the employees under their department.
- 1.3. Branch Managers and Officers are responsible for the dissemination and implementation of this policy within their branch, reviewing all application for leave of absence (ALAF) submitted by their staff, and ensuring that the Branch Succession Planning Policy and Guidelines is considered prior to endorsing the ALAF to the concerned Department Head for their approval.
- 1.4. The Human Resources Department is responsible for recording all approved leave of absences and reporting any irregularities or violations for due process and appropriate disciplinary sanction.
- 1.5. All employees are required to inform their immediate superior and respective Department Head of their leave of absences, and file for appropriate leave application within the time prescribed in this policy and guidelines.

2. The calendar year for leave is from January to December.

3. Employees will be eligible for company leave benefits after completion of probationary period or upon permanency of employment.

4. Probationary employees can file their absence without pay.

5. Types of Leave Benefits.

5.1. Leave provided by the bank:

5.1.1. Vacation leave (VL)

- 5.1.1.1. Permanent Employees are given ten (10) vacation leave credits in the beginning of each calendar year.
- 5.1.1.2. VL credits are prorated upon the date of the employee's permanent employment.
- 5.1.1.3. VL should be filed at least five (5) calendar days in advance, except during emergency situations, in which case, the ALAF should be filed immediately

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upon return to work. Nevertheless, the employee who will file for emergency leave must still notify his/her immediate superior on the morning that he/she will not be able to report to work.

- 5.1.1.4. Emergency leave is defined as sudden, unexpected, or impending situation that may cause injury, loss of life, damage to the property of employee or his/her place of residence, and/or interference with the normal activities of a person or firm and which, therefore, requires immediate attention and remedial action, e.g. sickness / accident / death of an immediate family member, natural disasters or calamities, and sudden absence or unavailability of child-minder.

Immediate family members of single employees are the employee's parents, children by blood or adoption and siblings. Immediate family member of married employees are the spouse and children by blood or adoption.

- 5.1.1.5. In situations that are not considered as emergency leave, and the employee needs to take a leave of absence but he/she will not be able to file the ALAF five (5) calendar days in advance, the Department Head has the prerogative to approve the leave application provided that the reason for not being able to file the ALAF within the prescribed period is deemed very important, cannot be planned, or beyond the control of the employee, e.g., PTA meeting that was short-noticed.

- 5.1.1.6. Vacation leave must be used in no less than 4 hours or half day increments.

- 5.1.1.7. Weekends and any holiday lying between the sanctioned leave periods will be excluded and not be counted as VL.

- 5.1.1.8. Vacation leave cannot be claimed as a matter of right. Any kind of leave can be granted or disapproved depending upon the business demands. An employee shall not proceed on leave until leave has been approved by the Department Head. Leave of absence from work without proper approval will call for disciplinary action.

- 5.1.1.9. In extreme cases, the bank has the right to recall an employee who is on vacation leave; VL that was not used will be returned to the credit of the employee.

- 5.1.1.10. All unused VL shall be forfeited at the end of the calendar year.

5.1.2. Sick leave (SL)

- 5.1.2.1. Permanent employees are given ten (10) sick leave credits in the beginning of each calendar year.

- 5.1.2.2. SL should be filed immediately upon return to work stating specifically the cause or sickness suffered during the period.

- 5.1.2.3. SL of more than two (2) days shall require a medical certificate and/or a fit to work clearance.

- 5.1.2.4. In case of prolonged illness or leave of absence from work, an employee is supposed to inform his/her immediate superior and Department Head daily about their condition and most probable date of return. In the absence of any communication from the employee, he/she will be considered as AWOL.

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- 5.1.2.5. Illness during filed and approved VL is not counted as SL. However, if any employee has a serious accident or extensive illness which destroys the intended benefit of the vacation, the employee should notify his/her immediate superior and the HRD, and the VL will be converted to SL.
- 5.1.2.6. If an employee has been sick on a Friday and he/she was still unwell until Monday, then Saturday will be considered as sick leave.
- 5.1.2.7. If a special holiday falls on a regularly scheduled work day during a paid sick leave period, the day is paid as a holiday, and is not counted against sick leave allowances.
- 5.1.2.8. All unused sick leave will be paid at the end of the year. However, this will be forfeited in case of separation from the company.
- 5.1.2.9. It should be realized that frequent and consistent availment of sick leave may indicate poor health and management may require the employee to first attend to his/her health conditions.

5.1.3. Forced leave

- 5.1.3.1. Five (5) day forced leave each year shall be scheduled by the management for purposes of internal control. The concerned employee shall be notified one (1) day before the scheduled leave. Unused forced leave is not cumulative and forfeited at the end of the year.
- 5.1.3.2. In case of a work disruption event due to extreme or hazardous weather, a pandemic, or unsafe working environment due to terrorism or physical attacks, the bank may direct employees to be on forced leave of absence however, only five (5) days shall be paid.

5.2. Statutory leave

5.2.1. Service Incentive Leave

Messengers and Janitorial employees who have rendered at least one (1) year of service is entitled to Service Incentive Leave (SIL) of five (5) days with pay, instead of ten (10) days vacation leave and ten (10) days sick leave.

The SIL may be used for sick and vacation leave purposes. The unused SIL is commutable to its money equivalent at the end of the year.

5.2.2. Maternity leave (Pursuant to Section 19 of R.A. No. 11210)

5.2.2.1. Conditions for Entitlement are as follows:

- Pregnant woman employee regardless of civil status, employment status, legitimacy of her child, and is employed with the bank at the time of delivery, miscarriage or abortion;
- She must have at least three (3) monthly contributions in the twelve-month period immediately preceding the semester of childbirth, miscarriage, or emergency termination of pregnancy;
- She shall have notified her employer of her pregnancy and the probable date of her childbirth, which notice shall be transmitted to the SSS in accordance with the rules and regulations it may provide.

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5.2.3. Paternity leave (R.A. 8187). The Act grants paternity leave of seven (7) calendar days with full pay to all married male employees for the first four (4) deliveries of the legitimate spouse with whom he is cohabitating. During his leave, the married employee is entitled to his basic salary, all allowances and other monetary benefits. In the event that the paternity leave is not availed of, it shall not be convertible to cash equivalent and shall not be cumulative.

The employee may be given an additional seven (7) days paternity leave if the mother of his child allocates up to seven (7) days of her maternity leave to him. The allocated benefit granted to the child's father is over and above that which is provided in R.A. No. 8187. The additional seven (7) days paternity leave shall be paid by the mother of his child's employer.

5.2.3.1. Conditions for Entitlement are as follows:

- He is employed at the time of delivery of his child.
- He has notified or applied for paternity leave with his employer within a reasonable period of time from the expected delivery of his pregnant wife or within such period as may be provided by the company rules and regulations, which shall be at least thirty (30) calendar days before the expected delivery date.
- His wife has given birth, and suffers miscarriages or an abortion, duly supported by a medical certificate.

5.2.4. Solo Parent leave ((R.A. 8972)

The Act grants Parental Leave of seven (7) working days with pay every year to any solo parent employee who has rendered service of at least one (1) year and must secure Solo Parent Identification Card from DSWD necessary for the availment of benefits under the Act and shall be valid for only one (1) year and may be renewed subject to a new assessment and evaluation.

5.2.4.1. Conditions for Entitlement:

- A woman who gives birth as a result of rape and other crimes against chastity even without a final conviction of the offender; provided, that the mother keeps and raises the child.
- Parent left solo or alone with the responsibility of parenthood due to the following reasons:
- Death of spouse.
- Spouse is detained or is servicing sentence for a criminal conviction for at least one (1) year.
- Due to physical and/or mental incapacity of spouse as certified by public medical practitioner.
- Due to legal separation or de facto separation from spouse at least one (1) year, as long as he/she is entrusted with the custody of the children.
- Due to declaration of nullity or annulment of marriage as decreed by a court or by a church as long as he / she is entrusted with the custody of the children.

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- Due to abandonment of spouse for at least one (1) year.
- Unmarried mother/father who has preferred to keep and rear her/his child/children instead of having others care for them or give them up to a welfare institution.
- Any other person who solely provides parental care and support to a child or children.
- Any family member who assumes the responsibility of head of the family as a result of the death, abandonment, disappearance or prolonged absence of the parent or solo parent.

A change in the status or circumstances of the parent claiming benefits under this Act, such that he/she is no longer left alone with the responsibility of parenthood, shall terminate his/her eligibility for these benefits.

5.2.5. Special Leave Benefits for Women (R.A. 9710 Magna Carta of Women)

5.2.5.1. Conditions for Entitlement:

- Any female employee, regardless of age and civil status, shall be entitled to a special leave of two (2) months with full pay from her employer based on her gross monthly compensation following surgery caused by gynecological disorders, provided that she has rendered continuous aggregate employment service of at least six (6) months for the last twelve (12) months. This two-month leave is in addition to leave privileges under existing laws.
- She has filed an application for special leave
- She has undergone surgery due to gynecological disorders that would require surgical procedures such as, but not limited to, dilation and curettage and those involving female reproductive organs as certified by a competent physician.
- This special leave shall be non-cumulative and non-convertible to cash.

* For the list of medical conditions covered by this, employees must coordinate with the HR Department.

5.2.6. Leave for Victims of Violence Against Women and their Children (R.A. 9262)

5.2.6.1. Conditions for Entitlement

- To be entitled to the leave benefit, the only requirement is for the victim-employee to present to her employer a certification from the barangay chairman (Punong Barangay) or barangay councilor (barangay kagawad) or prosecutor or the Clerk of Court, as the case may be, that an action relative to the matter is pending.
- In addition to other paid leaves under existing labor laws, company policies, and/or collective bargaining agreements, the qualified victim employee shall be entitled to a leave of up to ten (10) days with full pay, consisting of basic salary and mandatory allowances fixed by the Regional Wage Board, if any. The said leave shall be extended when the need arises, as specified in the protection order issued by the barangay or the court.

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- The usage of the ten-day leave shall be at the option of the woman employee. In the event that the leave benefit is not availed of, it shall not be convertible into cash and shall not be cumulative.

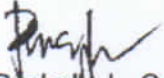
6. Extension of Leave.

- 6.1. In case of extension of leave due to any unforeseen circumstances the employee must inform his/her Branch Manager and Department Head in advance
- 6.2. In case employee overstays without approval it will be treated as absence from duty and disciplinary action will be taken against the employee.
- 6.3. Leave extended without permission will be treated as loss of pay.

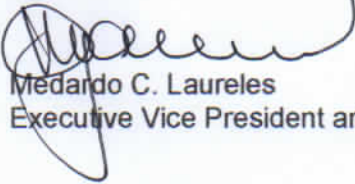
7. Prolonged Absence from Work

- 7.1. Leave without pay for a maximum of two (2) months may be requested, subject to the approval of the endorsement of the concerned Department Head and approval of the Executive Vice President, for any of the following reasons:
 - 7.1.1. Sickness, if all SL credits from the company and SSS sickness benefit had all been used
 - 7.1.2. Review and/or taking licensure exam
 - 7.1.3. Travel abroad
 - 7.1.4. Study
 - 7.1.5. Other reasons that will be allowed by the Executive Vice President and COO; Senior Officers must have the approval of the Corporate Governance Committee.
- 7.2. The employee who has been in a 2-month VL without pay must report for duty immediately upon expiration of the leave, or must inform the Human Resource Department before the expiration date of the reason why reporting for work will not be done. The employee will be declared AWOL for failure to report or inform of his/her inability to report upon expiration of the leave and therefore, will be dealt with according to the Code of Conduct and Discipline of the bank.
8. Leave of Absence Without Pay (LWOP). Upon exhaustion of vacation and sick leave credits, the employee may still file for a leave of absence however, this will no longer be paid. The guidelines for VL and SL application shall also be applied when filing for LWOP.
9. Revision of the Policy. The company reserves the right to revise, modify any or all clauses of this policy depending upon demand of business.

Prepared by:


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Reviewed and approved by:


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ANNEX I
APPLICATION FOR LEAVE OF ABSENCE FORM

 QUEZON CAPITAL RURAL BANK, INC.	
APPLICATION FOR LEAVE OF ABSENCE (ALAF)	
Name of Applicant	Position
Department	Branch
Type of Leave ☐ Vacation Leave (VL) ☐ Maternity Leave (ML) ☐ Sick Leave (SL) ☐ Paternity Leave (PL) ☐ Leave without Pay (LWOP) ☐ Other	
Period (days/months)	Start Date End Date
Purpose/Reason:	
Employee Signature	Date
Endorsed by: (signature above name)	
Branch Manager	Date
Approved by: (signature above name)	
Executive Vice-President / COO	Date

QCRB Form - HRD 50008